



January 6, 2012

Dear Valued Partner,

On behalf of my Horizon Kinetics colleagues, we would like to wish you a Happy New Year. The year 2011 marked the formation of Horizon Kinetics LLC through the merger of two firms that had common equity ownership and a long-standing investment research relationship. The combination of the firms was culturally simple as our principals and employees had worked side by side for over fifteen years prior to the merger. The formal integration of the non-investment functions such as operations, legal, compliance, technology, client services and marketing was successfully completed during the summer of 2011.

Our portfolio managers, research analysts, and other investment professionals remain fully focused and continue to observe valuation dispersion among global businesses not seen in at least a decade. As we have seen many times since the inception of the firm and over the course of our careers, fundamental value investing is currently out of favor. We hear the conventional chorus of short-term performance focus growing louder, similar to other periods experienced in our past. Yet, we maintain our research-driven conviction in the construction of our portfolios and their underlying holdings. In fact, as an investment firm whose capital is invested alongside our clients, we will patiently wait with humble confidence and experience for the returns on our portfolios to reflect the higher discount rates associated with the equity yield curve and the long-term return on capital of our underlying businesses.

We encourage you to read our [research](#) and [market commentaries](#) about the impact of indexation and ETFs on current market conditions. It appears to us that the collective behavior of investors to control volatility post-financial crisis by shifting towards indexation has ironically led to higher correlations and more volatility. We believe indexation prospectively will be generally characterized with higher volatility and lower returns like that experienced during 2011, leading to much discontent for individual and institutional investors following the conventional wisdom of the crowd.

We remain steadfastly committed to our clients since our establishment in 1994. We will continue to invest in our firm as an owner-operator and look forward to sharing our views with you throughout the year.

Most importantly, we thank you for your continued confidence and trust in Horizon Kinetics.

Doug Kramer
Chief Executive Officer